

Tencent Holdings (700 HK)

Buy: An initial review of HY3 preview

- ◆ Steep improvement, closing gap to top domestic models
- ◆ Immediate integration into a range of Tencent's products with focus on practical problem solving and cost efficiency is good
- ◆ Maintain Buy and TP at HKD750.00

The first model since the rebuilding of infrastructure: Tencent released HY3 preview on 23 April 2026. It is a 295bn-parameter Mixture-of-Experts (MoE) model, with 21bn active parameters and a 256k context window. Compared to HY2, HY3 preview improves significantly on complex reasoning, instruction following, context learning, coding, and agent tasks, with higher cost efficiency. Tencent rebuilt its pre-training and reinforcement learning infrastructure in February with three new core principles to build practical AI:

1) Systematic capabilities: Focus on comprehensive intelligence instead of narrow expertise; **2) Realistic evaluation:** Instead of chasing public benchmarks, it benchmarks HY3.0 against the latest exams, human evaluation, product testing and in-house tasks to evaluate the model's ability to do real work; **3) Cost efficiency:** By co-designing with the Yuanbao (YB) team in the model architecture and inference stack, it cuts task costs significantly such that token consumption for HY3 preview is economical even when used in scale. We think HY3 preview's immediate integration into a wide range of Tencent's products with a focus on both practical problem solving and cost efficiency is a positive direction. We see this as the first of the many steps in its rebuilding of its model infrastructure in February, and expect the model to improve continuously as it iterates further by leveraging real-life usage data from its products and open source community.

Key capabilities versus peers (ex.1 for key metrics): HY3 preview narrowed the gap to top domestic models in coding and agentic ability. **1) Complex reasoning:** HY3 preview performed well on STEM benchmarks like FrontierScience-Olympiad and IMOAnswerBench. It achieved excellent results in Tsinghua Qiuzhen College Math PhD qualifying exam (Spring '26), showing strong generalisable reasoning capacity.

2) Context learning & instruction following: Strong gains in both areas are indicated by the self-built testing methods, CL-bench and CL-bench-Life. **3) Code and agents:** HY3 preview posted competitive scores across mainstream coding agent benchmarks – for example, it yielded a higher score than GLM-4.7 in SWE-bench Verified, a higher score than Kimi-K2.5 in Terminal-Bench 2.0. As for search agent benchmarks, it was largely on a par with GLM-4.7 in BrowseComp, and scored better than GLM-5.0 in Wide-Search (Exhibit 2-5). HY3 preview also scores well on ClawEval and WildClawBench, demonstrating solid agentic capabilities.

Integration into ecosystem: HY3 is available on Yuanbao, CodeBuddy, WorkBuddy, QQ, ima, QQ Browser, Tencent Docs and more. It is rolled out across WeChat, Tencent News, Tencent Portfolio, Peacekeeper Elite, and its Customer Service. It supports open-source agent tools like OpenClaw, OpenCode, and KiloCode.

We maintain our HKD750 TP and Buy rating.

Equities Internet Software & Services

China



BUY

TARGET PRICE (HKD)

750.00

PREVIOUS TARGET (HKD)

750.00

SHARE PRICE (HKD)

495.20

(as of 23 Apr 2026)

UPSIDE/DOWNSIDE

+51.5%

MARKET DATA

Market cap (HKDm)	4,518,995	Free float	67%
Market cap (USDm)	576,973	BBG	700 HK
3m ADTV (USDm)	1,945	RIC	0700.HK

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	28.09	31.37	35.34	39.81
HSBC EPS (prev)	28.09	31.37	35.34	39.81
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	28.03	30.75	34.25	38.12
PE (x)	15.4	13.8	12.2	10.8
Dividend yield (%)	1.1	1.2	1.4	1.6
EV/EBITDA (x)	13.5	11.5	9.9	8.5
ROE (%)	24.4	23.3	22.7	22.1

52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

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The 23rd edition of the EM Sentiment Survey

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Financials & valuation: Tencent Holdings

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	751,766	835,804	904,751	963,003
EBITDA	310,767	352,716	396,249	439,606
Depreciation & amortisation	-66,028	-83,929	-89,003	-90,878
Operating profit/EBIT	244,739	268,786	307,246	348,728
Net interest	1,779	4,089	6,296	10,355
PBT	277,249	297,814	338,781	385,922
HSBC PBT	312,033	344,234	387,582	436,481
Taxation	-47,448	-51,244	-58,246	-66,277
Net profit	224,842	243,254	277,218	316,329
HSBC net profit	259,626	289,674	326,020	366,888
Cash flow summary (CNYm)				
Cash flow from operations	303,052	323,417	363,645	396,988
Capex	-112,723	-125,606	-135,968	-144,722
Cash flow from investment	-205,732	-105,870	-114,401	-119,448
Dividends	-39,907	-41,669	-46,825	-53,362
Change in net debt	40,596	-123,955	-150,496	-172,255
FCF equity	190,329	197,811	227,677	252,266
Balance sheet summary (CNYm)				
Intangible fixed assets	228,338	224,971	222,232	220,278
Tangible fixed assets	1,073,034	1,143,306	1,218,538	1,301,463
Current assets	620,000	749,297	905,137	1,083,846
Cash & others	141,041	254,272	394,711	557,563
Total assets	2,038,986	2,235,188	2,463,521	2,723,202
Operating liabilities	388,504	416,229	444,441	468,950
Gross debt	387,733	377,008	366,951	357,548
Net debt	246,692	122,737	-27,760	-200,014
Shareholders' funds	1,154,152	1,330,038	1,536,899	1,778,159
Invested capital	1,391,827	1,447,073	1,506,754	1,579,075

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	13.9	11.2	8.2	6.4
EBITDA	21.2	13.5	12.3	10.9
Operating profit	22.3	9.8	14.3	13.5
PBT	14.8	7.4	13.8	13.9
HSBC EPS	18.6	11.7	12.7	12.6
Ratios (%)				
Revenue/IC (x)	0.6	0.6	0.6	0.6
ROIC	18.1	17.8	19.4	20.9
ROE	24.4	23.3	22.7	22.1
ROA	12.0	11.5	11.9	12.3
EBITDA margin	41.3	42.2	43.8	45.6
Operating profit margin	32.6	32.2	34.0	36.2
EBITDA/net interest (x)				
Net debt/equity	19.9	8.6	-1.7	-10.7
Net debt/EBITDA (x)	0.8	0.3	-0.1	-0.5
CF from operations/net debt	122.8	263.5		
Per share data (CNY)				
EPS Rep (diluted)	24.32	26.35	30.05	34.32
HSBC EPS (diluted)	28.09	31.37	35.34	39.81
DPS	4.76	5.18	5.92	6.78
Book value	124.85	144.05	166.61	192.94

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	5.6	4.9	4.3	3.9
EV/EBITDA	13.5	11.5	9.9	8.5
EV/IC	3.0	2.8	2.6	2.4
PE*	15.4	13.8	12.2	10.8
PB	3.5	3.0	2.6	2.2
FCF yield (%)	4.8	5.0	5.8	6.4
Dividend yield (%)	1.1	1.2	1.4	1.6

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	30.8	No. of board members	9
Energy intensity*	55.0	Average board tenure (years)	20.0
CO ₂ reduction policy	Yes	Female board members (%)	11.1
Social Indicators		Board members independence (%)	55.6
12/2024a			
Employee costs as % of revenues	17.1		
Employee turnover (%)	n/a		
Diversity policy	Yes		

Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	495.20	Free float	67%
Target price (HKD)	750.00	Sector	Internet Software & Services
RIC (Equity)	0700.HK	Country/Region	China
Bloomberg (Equity)	700 HK	Analyst	Charlene Liu
Market cap (USDm)	576,973	Contact	+65 6658 0615

Price relative



Source: HSBC

Note: Priced at close of 23 Apr 2026

Exhibit 1: Comparison of key model metrics

Key latest models	Context Window (k)	Parameters (bn)	Activated parameters (bn)	Open/Proprietary
HY3 Preview	256	295	21	Open
GLM-5.1	c200	754	40	Open
Kimi-K2.6	256	1000	32	Open
MiniMax-M2.7	205	230	10	Open
DeepSeek-V4 Pro	1000	1600	49	Open
Qwen 3.6 Max Preview	256	n.a.	n.a.	Proprietary
Claude Opus 4.7	1000	n.a.	n.a.	Proprietary
GPT-5.5	922	n.a.	n.a.	Proprietary
Gemini 3.1 Pro Preview	1000	n.a.	n.a.	Proprietary

Source: Company data

Context window refers to the maximum amount of information, measured in tokens, a model can "see" and process at one time. Parameters are the internal numerical weights and biases learned during training that define a model's "intelligence". Model size directly correlates with parameter count, where more parameters generally mean higher accuracy, better reasoning, and more complex knowledge, but also require higher computational power for inference.

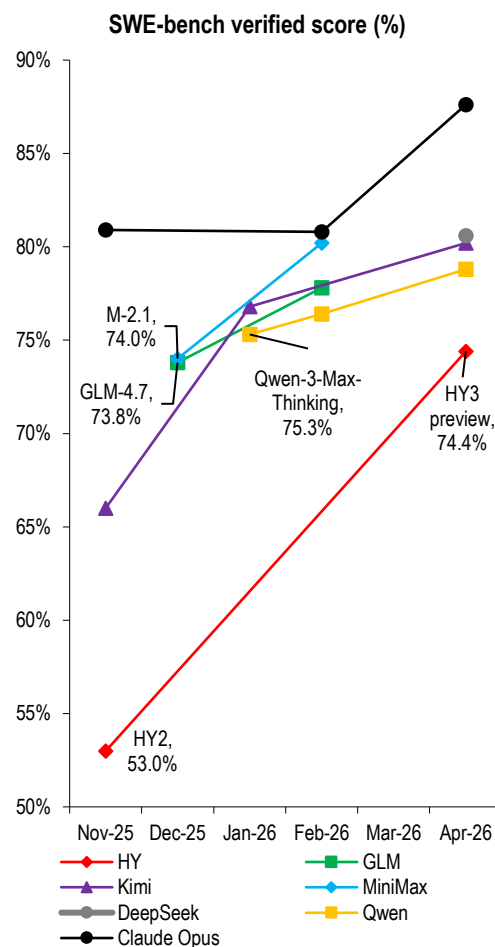
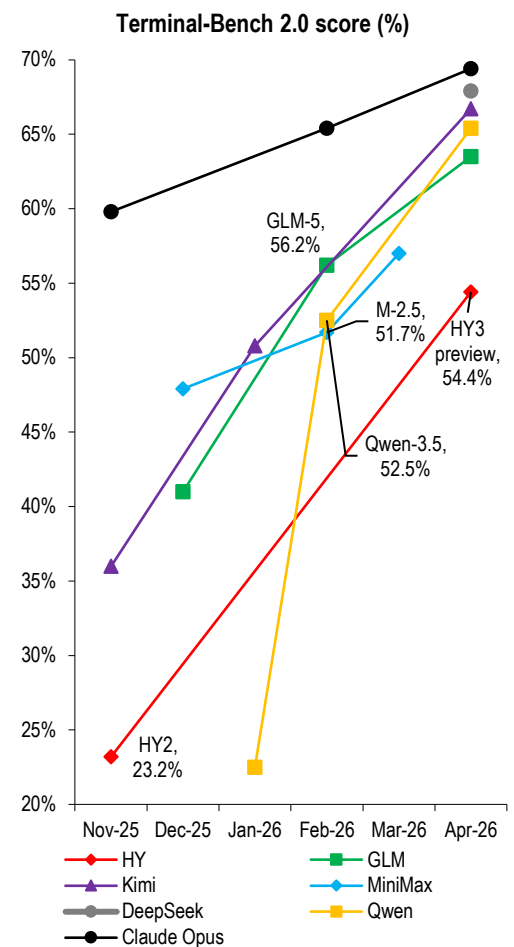
Exhibit 2: HY3 preview is rapidly catching up versus Chinese model peers in mainstream coding agent benchmarks

Exhibit 3: HY3 preview is rapidly catching up versus Chinese model peers in mainstream coding agent benchmarks


Exhibit 4: HY3 preview is rapidly catching up versus Chinese model peers in mainstream search agent benchmarks

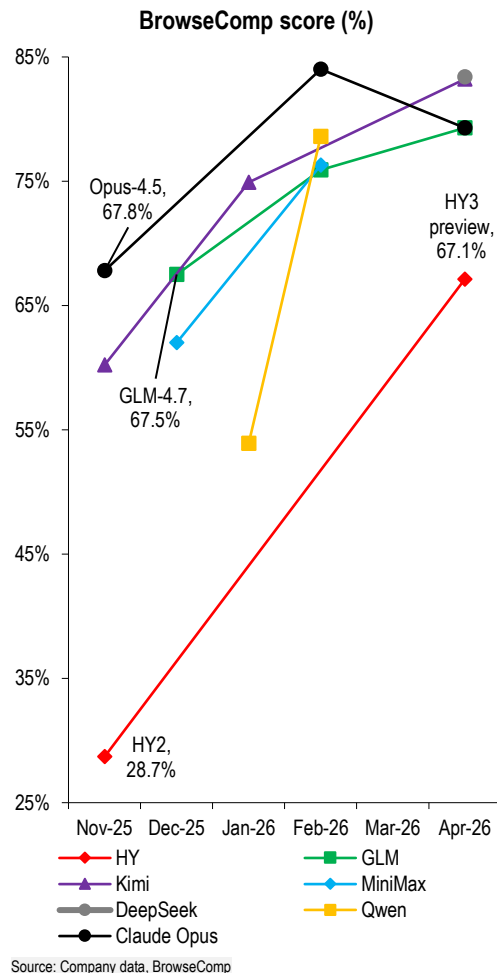
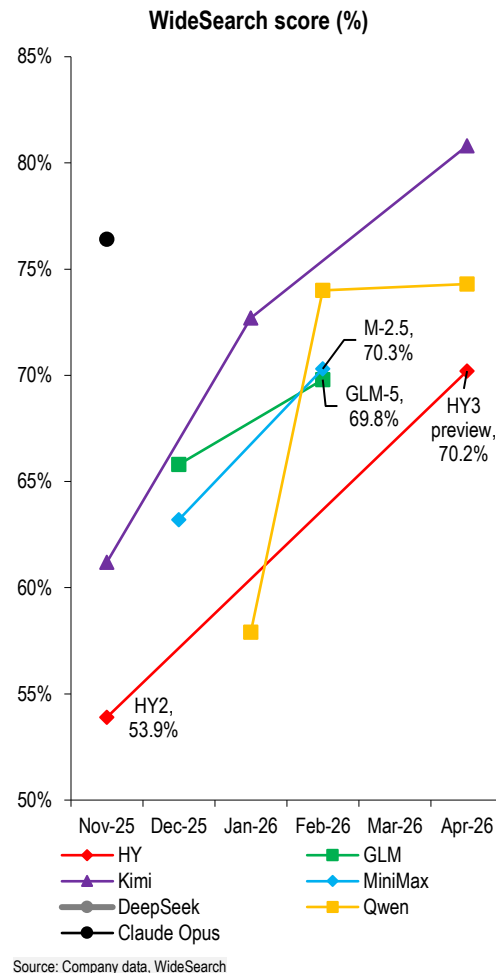


Exhibit 5: HY3 preview is rapidly catching up versus Chinese model peers in mainstream search agent benchmarks



Valuation and risks

Valuation		Risks to our view
Tencent 700 HK Buy	Current price: HKD495.20	Downside risks: ◆ Inability to get monetisation approval for games ◆ Regulatory headwinds for games and internet finance ◆ A deeper macro slowdown that could affect advertisers' budgets ◆ Inappropriate advertising and video content ◆ Changes in user preferences in terms of entertainment formats or communications ◆ Overhang from major shareholders' reduction of stake over time ◆ Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock.
	Target price: HKD750.00	
	Up/downside: +51.5%	
Methodology: DCF Assumptions: WACC of 8.4% is based on a debt/debt-and-equity ratio of 21%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. Terminal growth rate of 3.5%. Our inputs remain unchanged. We derive a TP of HKD750 (unchanged), which implies 51.5% upside; we therefore maintain our Buy rating. We see solid fundamentals in games and ads. RMB counter: For the RMB counter (80700 HK, RMB428.20), our TP of RMB674.00 (unchanged) is converted from our H-share target price based on the HSBC fx team's RMB-HKD assumption of 1.16 at end-2026e.		

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Upside/Downside is the percentage difference between the target price and the share price.

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For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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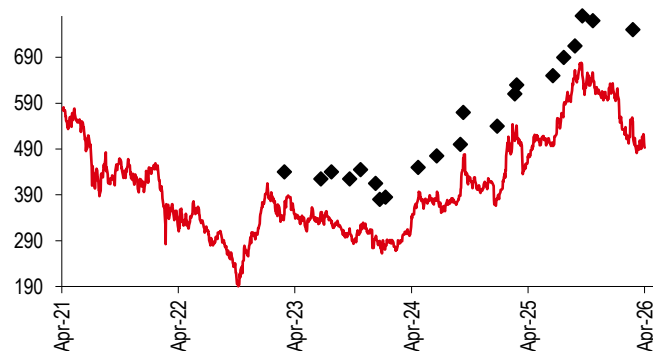
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see “Stock ratings and basis for financial analysis” above.

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Tencent Holdings (0700.HK) share price performance HKD Vs HSBC rating history

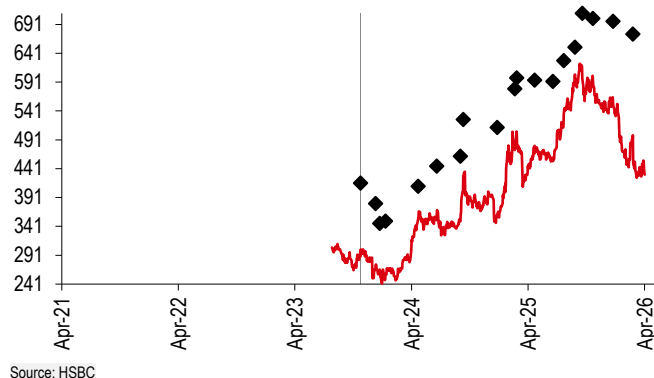


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	30 Jan 2019	Binnie Wong
Target price	Value	Date	Analyst
Price 1	440.00	22 Mar 2023	Charlene Liu
Price 2	425.00	14 Jul 2023	Charlene Liu
Price 3	440.00	16 Aug 2023	Charlene Liu
Price 4	425.00	12 Oct 2023	Charlene Liu
Price 5	445.00	15 Nov 2023	Charlene Liu
Price 6	415.00	02 Jan 2024	Charlene Liu
Price 7	380.00	15 Jan 2024	Charlene Liu
Price 8	385.00	02 Feb 2024	Charlene Liu
Price 9	450.00	14 May 2024	Charlene Liu
Price 10	475.00	11 Jul 2024	Charlene Liu
Price 11	500.00	23 Sep 2024	Charlene Liu
Price 12	570.00	02 Oct 2024	Charlene Liu
Price 13	540.00	17 Jan 2025	Charlene Liu
Price 14	610.00	13 Mar 2025	Charlene Liu
Price 15	630.00	19 Mar 2025	Charlene Liu
Price 16	650.00	10 Jul 2025	Charlene Liu
Price 17	690.00	13 Aug 2025	Charlene Liu
Price 18	715.00	17 Sep 2025	Charlene Liu
Price 19	780.00	10 Oct 2025	Charlene Liu
Price 20	770.00	13 Nov 2025	Charlene Liu
Price 21	750.00	18 Mar 2026	Charlene Liu

Source: HSBC

**Tencent Holdings (80700.HK) share price performance
 CNY Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
N/A	Buy	15 Nov 2023	Charlene Liu
Target price	Value	Date	Analyst
Price 1	416.00	15 Nov 2023	Charlene Liu
Price 2	380.00	02 Jan 2024	Charlene Liu
Price 3	346.00	15 Jan 2024	Charlene Liu
Price 4	350.00	02 Feb 2024	Charlene Liu
Price 5	410.00	14 May 2024	Charlene Liu
Price 6	445.00	11 Jul 2024	Charlene Liu
Price 7	462.00	23 Sep 2024	Charlene Liu
Price 8	526.00	02 Oct 2024	Charlene Liu
Price 9	512.00	17 Jan 2025	Charlene Liu
Price 10	579.00	13 Mar 2025	Charlene Liu
Price 11	598.00	19 Mar 2025	Charlene Liu
Price 12	594.00	14 May 2025	Charlene Liu
Price 13	592.00	10 Jul 2025	Charlene Liu
Price 14	628.00	13 Aug 2025	Charlene Liu
Price 15	651.00	17 Sep 2025	Charlene Liu
Price 16	710.00	10 Oct 2025	Charlene Liu
Price 17	701.00	13 Nov 2025	Charlene Liu
Price 18	696.00	15 Jan 2026	Charlene Liu
Price 19	674.00	18 Mar 2026	Charlene Liu

Source: HSBC

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Source: HSBC

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